

Tesla, Inc.
TSLA NASDAQ

Hold	\$345.13 ▼ 1.71%	12M Price Target \$380.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.36T
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TSLA: Robotaxi Wins Offset By China Recall Drama

WHAT HAPPENED

- Stock down 1.7% and the tape is messy — Tesla just got Vegas robotaxi permits (big deal, real revenue path) AND is recalling nearly 3 million cars in China over door latches that can trap people. The market is basically saying "cool future, ugly present." Net negative today because China is 20%+ of deliveries and this recall lands right as BYD is eating their lunch there.
- Also got hit with a \$243M judgment because a bug bounty hacker proved Tesla lied about Autopilot crash data existing. That's not the dollar amount that matters — it's the precedent for the ~15 other Autopilot lawsuits in the pipeline.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

POLICY & POLITICAL WATCH

The big one: the federal \$7,500 EV tax credit officially sunset last fall under the current administration's rollback, and Tesla has been absorbing that hit in margins all year — every quarter without it is a quarter of proof they can survive on their own. Watch the NHTSA — they're actively investigating FSD after several high-profile incidents, and any formal restriction on Level 3+ autonomy would gut the robotaxi thesis that's holding this multiple up. On the flip side, the administration's push to fast-track autonomous vehicle federal preemption (overriding state-by-state rules) would be a massive tailwind — Tesla can't scale robotaxi city-by-city forever.

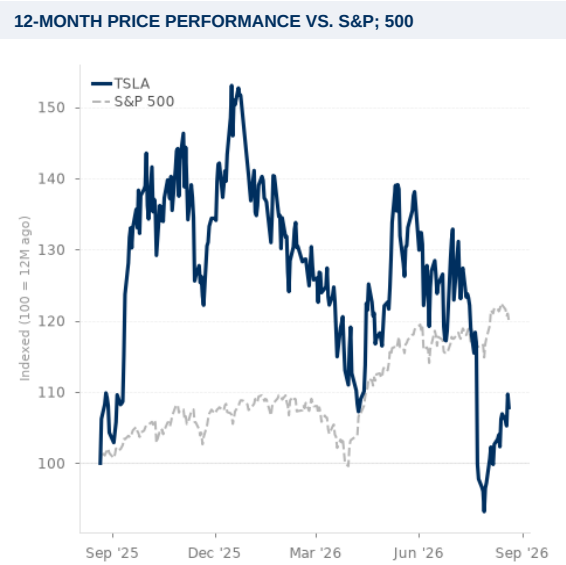
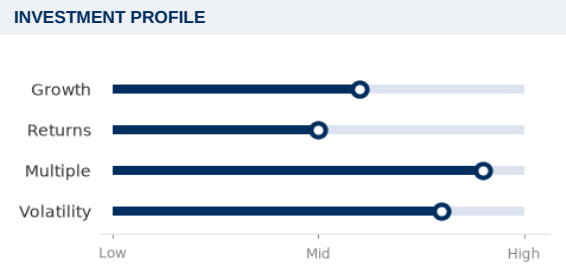
IS IT EXPENSIVE?

At \$1.36T market cap, you're paying roughly 147x forward earnings — meaning investors are shelling out \$147 for every \$1 of profit Tesla makes next year, versus about 8x for Ford and GM. That's not a car company multiple; that's a bet that robotaxi and Optimus become real businesses. The problem: at 24% of the 52-week range, the stock is already pricing in a lot of disappointment, so the risk/reward is more balanced than it looks — but the multiple only makes sense if you believe FSD scales in the next 18 months.

WHAT COULD GO WRONG

- China recall + BYD's price war means Tesla's second-biggest market could see delivery declines accelerate — and that's the cash cow funding all the AI moonshots
- NHTSA or a state AG cracking down on FSD/Autopilot after the \$243M judgment sets a precedent that opens the litigation floodgates

Key Data	
Price (USD)	\$345.13
12M Price Target	\$380.00
Upside / (Downside)	+10.1%
Market Cap	\$1.36T
FY2026E Revenue	\$108M
FY2027E Revenue	\$128M
FY2026E EPS	\$2.35
FY2027E EPS	\$3.10
Fwd P/E	147.0x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$375.00	\$350.00	\$315.00
6 Months	\$450.00	\$380.00	\$290.00
1 Year	\$520.00	\$400.00	\$275.00
2 Years	\$650.00	\$450.00	\$240.00
5 Years	\$900.00	\$550.00	\$200.00
10 Years	\$1500.00	\$700.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.4% this week) is ripping on the administration's drill-baby-drill posture and rising crude — ironic headwind for EVs since cheap gas hurts EV demand. Bitcoin past \$77K is also lifting risk assets pre-market.

COOLING OFF: Tech (-4% on the week) and Comms Services are getting hit as rates stay sticky and the AI trade cools after a summer melt-up. Tesla is caught between "car stock" and "tech stock" and neither bucket is helping right now.

ROTATION WATCH: Money is rotating out of high-multiple tech into energy and cyclicals — that's a direct headwind for TSLA because it trades on multiple, not fundamentals. Until tech reclaims leadership, TSLA has an uphill fight.

RELATED PLAY: If you believe the robotaxi story, the LiDAR and sensor names (even though Tesla doesn't use LiDAR) benefit from Waymo/Uber expansion — MBLY (Mobileye) is the cleaner autonomy pure-play if you want the theme without Tesla-specific risk.

WHO'S WINNING IN THIS SPACE?

- BYDDY (BYD): Eating Tesla's lunch in China and expanding into Europe — cheaper cars, better local relationships, and now Tesla's recall hands them another marketing gift
- GOOGL (Alphabet/Waymo): Got the same Vegas permit but with a longer autonomy track record — the market trusts Waymo's tech more than FSD right now

TSLA CONTEXT: TSLA is lagging both the broader auto space AND the AI cohort — that's the worst of both worlds and tells me the market is in "show me" mode. Until Q3 deliveries or a robotaxi milestone hits, expect it to trade heavy.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term AI story but the near-term setup is unfavorable with China deteriorating and options flow flashing yellow.

POSITION SIZE: 2-4% of portfolio — this thing swings 5%+ on random days, so size it where a bad week doesn't ruin your month.

ENTRY POINTS: \$310-325 is where I'd add — that's near the 52-week low support and offers real margin of safety. Chasing at \$345 with put buyers this aggressive feels premature.

TIME HORIZON: 12-24 months — you need at least a year for robotaxi to scale enough to justify the multiple. The catalyst I'm waiting for is Vegas robotaxi launch metrics and Q4 China delivery numbers.

WHEN TO BAIL: NHTSA opens a formal FSD enforcement action, or China deliveries drop 20%+ YoY for two straight quarters. Either one and the thesis is broken.

HEDGING: Simplest hedge — own a smaller position and keep dry powder. If you want protection, buying 6-month puts around \$300 is cheap insurance given how much this stock can drop on bad news.